

Gentrification: Perspectives of Economists and Planners

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Abstract and Keywords

Gentrification touches on issues at the core of the fields of urban economics, planning, and geography. This article aims to look across disciplines and review the literature on gentrification. It begins by discussing how gentrification is defined and understood by different researchers and assessing its importance or prevalence over time. It then contrasts the theoretical approaches used to explain the causes of gentrification in different fields. It focuses on different models used by economists on the one hand and planners, on the other. The economic models of neighborhood change focus more on market forces and individual choices, while planning and geography models emphasize class and politics. Following this, the article reviews the literature on the consequences of gentrification, summarizing the empirical evidence. Finally, it highlights what is still unknown about gentrification, in terms of the process and drivers, its consequences, and the role it might play in future urban revitalization.

Keywords: gentrification, urban economics, planning, geography, economic models, neighborhood change, urban revitalization

Ever since Ruth Glass coined the term in 1964, *gentrification* has managed to garner at least as much attention from outside the academy as within. The consequences of gentrification have been hotly debated—with some heralding the revitalization of previously neglected downtown urban neighborhoods, and others bemoaning both the displacement of long-term residents who cannot afford the accompanying increase in the cost of housing and the loss of community character. At least within the academy, the factors that lead certain neighborhoods to go through economic changes are fiercely contested too.

Gentrification touches on issues at the core of the fields of urban economics, planning, and geography. It relates to how activities and people sort themselves across space, and how these location choices matter for both individual and community outcomes. But while gentrification is core to many urban subfields, much of the discourse on this topic occurs within single (or closely related) disciplines, in isolation from other disciplines. This chap-

ter aims to look across disciplines and review the literature on gentrification broadly, highlighting different theoretical perspectives and summarizing the key empirical results.

This chapter begins by discussing how gentrification is defined and understood by different researchers and assessing its importance or prevalence over time. We (p. 372) then contrast the theoretical approaches used to explain the causes of gentrification in different fields. We focus on differences in the models used by economists on the one hand and planners—and the urban geographers they often follow—on the other. In general, the economic models of neighborhood change focus more on market forces and individual choices, while planning and geography models are more likely to emphasize class and politics. We then review the literature on the consequences of gentrification, summarizing the empirical evidence. We finish by highlighting what is still unknown about gentrification, in terms of the process and drivers, its consequences, and the role it might play in future urban revitalization.

Defining Gentrification and Neighborhood Economic Change

The term *gentrification* is often used loosely—in both academic and popular discourse. While some use it simply to describe a rise in the mean income of a lower-income urban neighborhood, gentrification generally connotes far more than that. The Merriam-Webster dictionary, for example, defines gentrification as “the process of renewal and rebuilding accompanying the influx of middle-class or affluent people into deteriorating areas that often displaces poorer residents.” This definition can be traced back to Ruth Glass, a British sociologist, who coined the term to describe what she saw as the unfortunate transformation of many neighborhoods in London, a trend she believed was destroying affordable rental housing and driving out the poor (Glass 1964). Her trenchant account suggested little that was positive about the process of neighborhood economic change.

In their analyses of neighborhood economic revitalization, scholars have departed from this original definition to different degrees. Some researchers, for example, aim explicitly to tackle gentrification while others aim instead at neighborhood economic gains more broadly. But even those who explicitly aim to study the phenomenon of gentrification bring to bear different assumptions about the process.

In general, definitions of neighborhood change vary on three key dimensions. The first issue is whether change is driven by the in-movement of higher-income households (generally assumed to be part of the process of gentrification). Clay (1979), for instance, draws a distinction between neighborhoods that experience income gains through “incumbent upgrading” and those that undergo income gains through “gentrification” (Clay 1979). Most scholars have assumed that incumbent upgrading plays a small role in neighborhood change and that increases in neighborhood economic status are driven largely by the in-movement of higher-income households (Brueckner and Rosenthal 2009 Kern 1981). Indeed, in recent debates on the evolving nature of gentrification, a group of

scholars argues that its core includes (p. 373) the “social upgrading of locale by incoming high-income groups” (Lees, Slater, and Wyly 2008, 158). Other researchers are more agnostic about underlying causes and aim to study neighborhood change more broadly (Ellen and O’Regan 2008).¹

A second key distinction—and the one focused on most frequently in the literature—is the extent to which lower-income residents are displaced, or pushed out, in the process of neighborhood change. Some scholars, following Glass, assume that gentrification inevitably involves the displacement of the original, lower-income residents (Marcuse 1986). Others, by contrast, view the extent of displacement as an empirical question and argue that neighborhoods can experience rapid economic and social changes even in the absence of elevated displacement rates (Ellen and O’Regan 2011; Freeman and Braconi 2004).

Finally, a third point of difference is that some scholars assume that true gentrification—at least in the United States—involves a change in the racial or ethnic character of the population and community as white households move into largely minority neighborhoods (Kirkland 2008; Massey 2002).

On the whole, economists have generally aimed to study neighborhood economic change more broadly rather than focusing explicitly on gentrification *per se*. Brueckner (1977), for instance, simply studies transitions of neighborhoods between income and status levels. Similarly, and more recently, Rosenthal (2008) aims to shed light on urban renewal. To be sure, most economists assume that economic change is ultimately driven by the in-movement of higher-income households, but they are less likely than planners and geographers to dwell on either the consequences of the change or the political motives and actions that might encourage this in-movement. In contrast, planners (as well as geographers and sociologists) fundamentally see gentrification as a social process, as the social transformation of space from use by a lower-class group to use by a higher-class group. These are not hard-and-fast lines, however. Some planners adopt fairly broad definitions of neighborhood change and gentrification and are fairly agnostic about underlying causes and consequences (Freeman and Braconi 2004).

Prevalence of Neighborhood Economic Change

During the 1970s and early 1980s, the press heralded a “Back-to-the-City” movement in the United States. The many stories suggested a widespread phenomenon. Consider the words of one reporter writing in a 1983 issue of *Newsweek*: “We are (p. 374) driving out the poor and middle class, making cities the exclusive domain of the young and the affluent” (Palen and London 1984, 257). But while there may have been some truth to these residential shifts, the empirical research reveals that the media dramatically overstated the extent of gentrification. Studies of neighborhood change in the United States during the 1960s and 1970s generally find evidence of gentrification in some cities, but

they report that the neighborhoods were relatively isolated and their resurgence was not enough to redirect the overall tendency toward suburbanization of the middle class.

Lipton (1977), for example, studies the 20 largest American cities in the 1960s. He finds that roughly half of these cities experienced an increase in the number of middle- and upper-class neighborhoods during the decade. Black (1975) surveys 143 central cities and estimates that in 48 percent of them, there was evidence that private owners were investing in the renovation of homes in older, declining neighborhoods. Finally, Clay (1979) studies 105 neighborhoods within the 30 largest American cities; he finds evidence of economic gains throughout all regions of the country, though gentrifying neighborhoods make up a very small share of any given city's neighborhoods or housing stock. Indeed, in all these studies, the extent of private market renovation was relatively small relative to the extent of new construction occurring in the suburbs (Gale 1984). Moreover, despite the "Back-to-the-City" label favored by the popular press during the period, the studies typically suggest that the neighborhood gains that were evident were driven more by decisions of young households to stay in the city for longer, rather than the decisions of dissatisfied suburbanites to return to more dynamic city life (Gale 1980). The title of Berry's 1985 article on gentrification—"Islands of Renewal in Seas of Decay"—concisely captures the empirical pattern found in the studies of the 1960s and 1970s.

While there is far less work studying neighborhood change in the 1980s, the evidence that exists suggests that a modest degree of renewal in low-income neighborhoods continued. Bostic and Martin (2003) study the fifty largest metropolitan areas and identify a greater number of low-income urban census tracts undergoing economic gain during the 1980s than during the 1970s. Interestingly, this shift was not driven by any change in the probability of economic gain, which remains almost constant between decades. It was driven instead by the greater number of potentially "gentrifiable" tracts in 1980 (i.e., tracts in which the median income was below 50 percent of the median income in the metropolitan area as a whole), suggesting a greater spread in median incomes across metropolitan neighborhoods in 1980 as compared with 1970, at least at the low end.

In the 1990s, gentrification attracted renewed attention, as the economy and housing market heated up. While the press rhetoric was again exaggerated, a number of studies indicate that the pace of neighborhood gain did in fact accelerate during the decade (Wyly and Hammel 1999). Ellen and O'Regan (2008) report a significant increase in the 1990s in the proportion of lower-income and poor neighborhoods experiencing an increase in economic status, as measured by mean income in the neighborhood relative to that in the larger metropolitan area. And this type of upgrading appears to have occurred throughout the country, not just in selected (p. 375) regions or cities. Significantly, however, most of these poor neighborhoods were still relatively low-income even after experiencing the gains in mean income.

Similarly, Jargowsky (2003) finds that the number of very high-poverty neighborhoods (tracts with poverty rates of at least 40 percent), and the number of poor people living in them, declined during the 1990s, reversing a trend of increasing poverty concentration

that began in the 1970s. Again, he finds that this pattern was fairly widespread, although the Midwest and South experienced the largest declines, while the West experienced an increase. Kingsley and Pettit (2003) extend this work to consider a broader share of disadvantaged income tracts: tracts with poverty rates of 30 percent or higher. They confirm the changes and patterns found by Jargowsky.

Causes: Where Does Gentrification Occur and What Drives It?

Models of Neighborhood Change

At its core, gentrification is about neighborhood change, and thus theoretical models of neighborhood change are relevant to understanding it.² The invasion-succession model is perhaps the most famous model of neighborhood change, associated with urban sociologists at the Chicago school and credited to such authors as Park (1952), Burgess ([1925] 1967), and McKenzie (1924). In this model, neighborhoods change through the “invasion” by an entering group that differs from those already there (either in population composition or in type of land use); when this leads to the loss of the original residents/use, succession is complete. While the invasion-succession story was originally used to explain neighborhood deterioration, theoretically it can go in reverse and explain “reinvansion” (London and Palen 1984, chap. 1; McKenzie 1924).

Hoover and Vernon's (1959) model of neighborhood life cycles essentially extends this process over time. As neighborhoods progress from one stage of their “life” to another, each stage is accomplished via invasion-succession. While the original model presents five stages of a neighborhood's life—development, transition, downgrading, thinning out, and renewal—there is no set pattern that all neighborhoods need follow. At any point in the cycle, a neighborhood can reverse course and revitalize.

(p. 376) In terms of what causes such a reversal, there are distinct (and, in some cases, competing) theories about what causes a neighborhood or region to undergo reinvansion or gentrification. Academic debates on these causes can be surprisingly heated, revolving around preexisting and deep disciplinary divisions within urban studies, as well as differential emphasis on consumption (demand) versus production (supply) forces. One key debate is between two opposing perspectives on the economic and political factors behind gentrification. The neoclassical economics perspective focuses on impartial market forces and uncoordinated behaviors. The bulk of work conducted and consumed by economists falls within this perspective. The more radical, Marxist perspective focuses instead on economic interests and political power, viewing gentrification as the outcome of political preferences and decisions made by land-owning interest groups. Urban geographers have produced considerable work in this area, and urban planners typically place more emphasis on this perspective as well. The following discussion describes the neoclassical and Marxist perspectives in more detail and highlights the key areas of difference and debate.

In addition, our discussion draws attention to several other factors that have been suggested by economists and planners as potential drivers of gentrification. Most notably, scholars have emphasized the role of demographic factors (population and occupational shifts) and sociocultural changes (shifts in values and attitudes).³ Both of these demand-side factors could be consistent with either the Marxist or the neoclassical economics point of view, although the bulk of the work is written by noneconomists and not explicitly embedded in either frame. We also highlight one additional factor, government policy, which is differentially emphasized by economists and geographers/planners.

Economic/Political-Economy Factors: Neoclassical Economic Perspective

Implicitly or explicitly, economists generally embed research on gentrification within the existing monocentric models of urban land use employed by urban economists (Alonso 1964; Muth 1969; Mills 1972). In these models, employment is centrally located in a central business district, and households of various types (and income levels) “bid” for living at various locations, taking into account the resulting commuting costs and costs of housing. Since employment is centrally located, land is more expensive at the center, and land is used more intensely there (i.e., housing and population density are higher). Therefore, in deciding how much to “bid” for housing (what it is worth to them), households face a trade-off; proximity to work comes with higher-cost, denser housing. If higher-income households care more about increasing their consumption of housing (and land) than they do about (p. 377) living centrally, then this model results in the type of sorting that matches most American cities, with lower-income and poor households living more centrally, and higher-income households living predominantly in the outlying, lower-density suburbs.⁴

Gentrification is then posed as a change in these patterns, one that could be driven by a variety of factors, both demand and supply, with many researchers suggesting multiple factors at work (e.g., Downs 1981; Schill and Nathan 1983). Several potential demand-side factors, covered in more detail in subsequent sections, fit within this frame (although much of the work by noneconomists does not explicitly connect those factors to this frame). The consistent theme for economists considering demand (and supply) factors is the emphasis on uncoordinated actions through the market as key drivers of change.

The standard urban model of land use also allows supply-side factors to drive neighborhood revitalization. As described in Downs (1981), urban areas grow from the center outward, with new housing created on the urban periphery where land is less expensive and more likely to be vacant. In part due to zoning restrictions and regulations, this new housing is too expensive for poor households, who occupy older housing that is more centrally located and has “filtered” down the income hierarchy.⁵ Eventually, as households move to newer housing, the oldest housing is abandoned or destroyed, and neighborhoods age and deteriorate along with their housing stock.

This aging and centrally located housing stock may become attractive to higher-income homeowners, as the cost of newly constructed housing in the suburbs increases (along with commuting costs), potentially reversing the downward cycle of a neighborhood (Berry 1985). In particular, inner-city areas (and housing) that would otherwise appeal to those purchasing housing in the suburbs should be particularly attractive. There is considerable evidence that neighborhoods which have locational advantages and/or unique, historic housing stocks (e.g., Victorian homes) are more likely to experience gentrification (London and Palen 1984; Brueckner, Thisse, and Zenou 1999; Helms, 2003).

Building off this notion, Brueckner and Rosenthal (2009) argue that as the inner-city housing stock continues to age and reaches the end of its lifespan, a greater share of higher-income households will choose centralized locations, attracted by the (p. 378) newly constructed (or dramatically rebuilt) housing units that replace the old ones. Their regression-based predictions suggest that, at least in larger U.S. metropolitan areas, the aging and obsolescence of central city housing should lead to a decreased central-city/suburb income disparity over the next two decades as inner-city housing is replaced and higher-income households are then drawn to the newly built units at the center.

Economic/Political-Economy Factors: Marxist Perspective

Most of the supply-side literature on gentrification does not arise from neoclassical models of urban land use but rather draws from a more Marxist and political frame. The overarching theme in Marxism is the class struggle between capitalists and workers, and Marxist analysis tends to focus on those junctures where class conflicts come to a head, both to reveal the weaknesses of a capitalist economy and to identify the frontiers on which political and social progress is possible. Many modern Marxists see these conflicts playing out in inner cities.⁶

Connecting this Marxist analysis to the urban process, Harvey (1973, 1978) applies the cycles of capital accumulation and devaluation considered inherent in capitalism to cycles of physical development and deterioration of the city.⁷ He notes that while the central tension between the classes arises from the workplace, it reverberates through the entire system of social relations, including public service provision and neighborhood development.

With an eye toward explaining urban renewal in the 1950s and 1960s, Edel (1971) faults the standard filtering model (and Vernon specifically) for ignoring the critical role that powerful elites (such as universities, large nonprofits, and corporations) play in determining how centralized land gets used. Edel argues that in addition to their considerable financial resources, such elites also use nonmarket institutions, most notably the government to further their aims. Urban renewal, through which neighborhoods identified as slums were redeveloped after the removal of existing residents and businesses, is seen as a direct mechanism for accomplishing the goals of the elites at the expense of the lower class.⁸

With respect to gentrification specifically, Smith (1979, 1982) argues that the primary driving force behind gentrification is the flow of capital, responding to the gap between the ground rent of land in its current use and what it could earn in its higher and better use (potential rent)—a “rent gap.” This gap creates the incentive to reverse the outflow of capital, which previously was directed to new construction in the suburbs. This flow of capital results from the decisions of those most able to (p. 379) control real estate markets—financial and social institutions included. This perspective emphasizes that the consumer choices at the center of neoclassical economics are profoundly shaped and constrained by larger social and political processes.

There is a considerable literature relying on—and critiquing—the rent gap theory. Lees, Slater, and Wyly (2008) provide a nice summary of the key debates. To start, there are disagreements over terminology. Smith's original theory avoids use of the term *land value* (which creates conflict with Marx's labor theory of value), relying on *ground rent* and then subsequently settles on *capitalized land rent*. Other authors have developed their own terminology. For example, Hamnett and Randolph (1988) employ *value gap*, which focuses on the difference in prices associated with alternative uses (ownership versus rentals).

Perhaps more important, concerns over terminology also spurred debate about the merit (or necessity) of the rent-gap concept *per se*. A series of articles in *Urban Studies* follow much of this debate through the 1990s (Hammel 1999; Smith 1996; Clark 1995; Bourassa 1993). One component of this debate is whether the rent gap can be meaningfully operationalized. It is not clear exactly how one measures capitalized and potential ground rent, and the existing empirical work has struggled with different measures or proxies.

In his study of twenty-two Canadian census metropolitan areas (CMAs), Ley (1986) attempts to capture the rent gap through the ratio of inner-city to CMA housing costs. Badcock's (1989) study of Adelaide, Australia, uses data on average prices of vacant lots to measure potential ground rent, while average house prices proxy (less well) capitalized ground rent. Clark (1988) takes a much more data-intensive approach, following a set of parcels in Malmo, Sweden, from 1880 to 1980. Capitalized ground rent is based on adjustments to assessed values of properties and land, while potential rent is estimated from sales of vacant land prior to both the original and subsequent developments (with additional adjustments). These authors, and others, tend to conclude that they find rent gaps consistent with Smith's theory. But it is also true that these rent gaps cannot be used to predict the timing or location of redevelopment or gentrification. Rather, they need to be taken in the local, historical, and sometimes parcel-specific context. In addition, these empirical findings do not uniquely support rent-gap theories over other economic models of demand/supply. As Bourassa (1993) argues, all that is needed for gentrification to occur is that it be profitable to convert a property from one use to another, which is also a component of the neoclassical account of land-use succession.

More recently, the debates tend to focus on the primacy or completeness of this theory. Hamnett (2003) argues that demand-side forces deserve as much emphasis as supply,

specifically the shifts in industrial, occupational, and earnings structure that have led to increased demand for housing from this expanded middle class. Numerous authors, even if they do not reject Smith's supply-side focus, also incorporate various demand-side factors (London, Lee, and Lipton 1986; Bostic and Martin 2003; Lees, Slater, and Wyly 2008)

(p. 380) Government Policies

While Marxists have highlighted government policies as the key drivers of gentrification, researchers of varied perspectives acknowledge the role of particular government policies in facilitating gentrification, from urban renewal (Gans 1962) to the Federal Housing Administration's part in redlining (Wyly and Hammel 1999).

More broadly, some researchers have noted a shift in many countries (and states) toward policies that are decidedly pro-market. This “neoliberalism” pushes an urban policy agenda that facilitates private market operations, in hopes of reaping economic benefits via attraction and retention of wealthier households, and investments in the city (Lees, Slater, and Wyly 2008). Many argue that such policies themselves can spur gentrification. Newman and Ashton's 2004 case study of Newark suggests that even though the process of revitalization under such policies is led by public and nonprofit actors, the resulting neighborhood changes more closely resemble gentrification than they do the traditional goals of community development. Researchers have also pointed to Hope VI, a public housing redevelopment program in the United States (Wyly and Hammel 1999) and portions of the London Plan (Davidson and Lees 2005) as examples of urban development policies that facilitate or heighten gentrification. Indeed, Wyly and Hammel (1999) posit that Hope VI, through its destruction of large-scale public housing projects and dispersal of previous tenants through housing vouchers, coupled with redevelopment efforts that include private sector partners, provides a tool for gentrification not matched in previous decades.

Smith (2002) argues government-led gentrification is now a global urban strategy, and Atkinson and Bridge (2005) have gone so far as to label this “the new urban Colonialism.” In their review of these arguments, Kennedy and Leonard (2001) provide a more moderated assessment, at least in the United States, arguing that many of the factors causing gentrification (such as the restructuring of the labor market and resulting housing demand) may also be necessary for urban success—and outside the direct control of local policy actors. They argue that a more fruitful debate might focus on developing those policy levers that can counter any negative effects of gentrification (which we consider later).

Demographic/Occupational Factors

Over the past three to four decades of research on gentrification, many demographic and occupational changes have occurred—changes that affect the size of populations for whom central-city location is desirable, or the nature of the trade-off between commute time and housing consumption. For example, the aging of the baby boom generation, lat-

er onset of marriage and childbearing, as well as the increased prevalence of two-earner households have been posited as changes in (p. 381) the demographic composition of the population that could increase demand for downtown living. Downs (1981), Schill and Nathan (1983), and London (1980) all document these demographic trends as a way to explain gentrification in the 1970s.

Other work focuses instead on changes in the job composition in cities, such as the movement from a manufacturing base to services and an increase in professional and white-collar occupations. These shifts help to make downtown areas more appealing by both removing manufacturing sites, possibly creating more centralized employment opportunities for professionals, and increasing overall demand for housing (Berry 1985; Schill and Nathan 1983). There is an increasing emphasis on such industrial/occupational shifts in more recent literature in the fields of geography and sociology (Hamnett 2003; Ley, 1996). The standard urban economic model would also predict that such demographic and industrial/occupational changes would result in increased demand for downtown living. Indeed, Vigdor (2002) provides empirical evidence that the increased presence of high-skill work in Boston during the 1980s and 1990s may have been a factor in increasing housing demand spurring gentrification. Note, these arguments require no changes in the underlying preferences of households.

Social/Cultural Factors

An additional demand-side argument is that gentrification is driven by changes in attitudes, values, and beliefs that increase the desirability of downtown living (either independent of, or in conjunction with, the postindustrial restructuring). Dominated by geographers and sociologists, this research emphasizes changes in values and attitudes, frequently taking a decidedly more class-oriented approach.

For example, Caulfield (1994) portrays gentrification in Toronto as an explicit rejection by the middle-class gentrifiers of suburban values and an articulation of a political point of view. As summarized in Lees, Slater, and Wyly (2008), such “left-liberal politics characterize the new middle class professional” (97) in other parts of the world as well. Ley (1986, 1996) couples the emergence of the new middle-class professionals, with an altered view of urban living, to the development of the postindustrial city in Canada. Hamnett (2003) similarly connects the new middle class to the changing industrial base and professionalization. What distinguishes this entire body of work from that focused on demographic and occupational shifts are the accompanying changes in values and attitudes toward urban living. While much work in this area explicitly rejects the emphasis on the role of individual preferences in the neoclassical urban model in favor of a Marxist frame (see later in chapter), in theory these approaches need not conflict. Indeed, Kern (1981) explicitly incorporates increased taste for urban amenities in the standard monocentric model, and he finds the results consistent with changes in residential patterns in New York City in the 1960s.

(p. 382) **Consequences**

While there is spirited academic disagreement about the causes of gentrification, the debate about the consequences is even more heated, especially among planners and geographers. (With a few exceptions, economists have written less about the consequences of neighborhood change.) Many prior accounts of gentrification have viewed original residents as victims of the process, who are forced to pay higher rents, suffer as their neighborhoods change character, and are ultimately pushed out of their neighborhoods. This section reviews these debates and summarizes the empirical evidence.

Displacement

Virtually all the research on the consequences of gentrification focuses on the question of displacement. Definitions vary across studies. As Vigdor (2001) points out, some researchers define displacement simply as involuntary evictions, such as those that result from demolitions or decisions to upgrade a building. Other researchers include voluntary moves precipitated by rent increases as constituting displacement as well.

Even if researchers agreed on defining the phenomenon, capturing it empirically remains a significant challenge, as few surveys track households across residential moves. Moreover, households move all the time, and it is difficult to identify those households that are genuinely pushed out as a result of rising rents or market-related evictions. Few surveys ask households about reasons for moving, and those that do offer a fairly limited set of choices for reasons.

Researchers have typically taken one of three approaches to measuring the extent of displacement. Several of the early studies simply report the degree to which households are involuntarily displaced in an entire city or in the country as a whole (Newman and Owen 1982). Using the Panel Study of Income Dynamics, Newman and Owen (1982) estimate a displacement rate of 5 percent for the United States as a whole. Similarly, a study using the 1979 American Housing Survey suggests that in that year, between 4.5 and 5.7 percent of movers in the United States were dislocated by conditions that could have been private market displacement (U.S. Department of Housing and Urban Development 1981). Unfortunately, these studies are not able to distinguish between households that are living in neighborhoods undergoing neighborhood change and those that are not. Thus they really are not able to measure the extent to which households in neighborhoods undergoing gentrification experience displacement.

A second set of studies improves on this earlier work by restricting their samples of households to those that have moved from neighborhoods identified as upgrading. Schill and Nathan (1983), for example, select nine neighborhoods in five cities that are identified as undergoing upgrading through analysis of census data and consultation with local experts. They then survey a set of renter households that lived in one of the neighborhoods in 1979 but not in 1980. They define a household as having (p. 383) experienced displacement if it said it moved because of rent increases, an eviction due to home reno-

vations, or the sale of the building. Using this definition, they find that between 10 and 40 percent of their surveyed out-movers were “displaced.”

While one could quibble with the definitions of displacement used and challenge the wording of the questions that ask about reasons for moving, the key problem with these studies is the lack of a comparison group. Are the estimated displacement rates higher or lower than those in otherwise comparable neighborhoods that are not going through any revitalization? Without such a baseline comparison, it is impossible to know if gentrification itself is encouraging displacement.

A third, and more recent, strand of literature addresses this shortcoming by comparing the rates of exit from gentrifying neighborhoods with those from other similar neighborhoods that do not undergo such economic change. DeGiovanni (1984) is an early contributor to this literature, examining the extent of tenure conversion in six cities. Specifically, he compares the share of rental properties converted to owner occupancy in twelve neighborhoods identified by locals as gentrifying during the 1970s with the share of rental properties undergoing conversion in six neighborhoods in the same cities that appeared similar in 1970 but did not experience reinvestment during the 1970s. He finds such conversion rates to be quite high in all neighborhoods studied, both those identified as gentrifying and those not. Gentrification *per se* did not appear to heighten such conversion.

Vigdor (2002) examines exit rates rather than tenure conversion. Focusing on the Boston metropolitan area during the 1990s, he uses the American Housing Survey to study whether less educated households are more likely to exit their housing units if those units are located in gentrifying zones. He studies the period between 1985 and 1989 and finds that less educated households living in gentrifying zones are no more likely to move out of their housing units than similar households living in nongentrifying zones.

In a similar analysis, Freeman and Braconi (2004) study household turnover in gentrifying and nongentrifying neighborhoods in New York City between 1991 and 1999. Like Vigdor, they find no evidence of elevated exit rates in gentrifying communities. Indeed, they find that poor and less educated households were actually *more* likely to stay in their housing units if they lived in a gentrifying area.

While these studies clearly improved on earlier analyses, they of course have shortcomings too. For one thing, the latter two studies are not able to precisely identify where households live. They can only identify the zone or subborough area where each housing unit is located, which are areas composed of more than 100,000 residents, and thus are far larger than what is commonly considered a neighborhood. For another, studies fail to identify the neighborhoods to which departing households move; it is possible that some of the households that they identify as displaced end up living in the very same community after their move. Finally, these studies are of course limited to the experience of a few cities, and thus their findings may not be generalizable.

Three recent studies attempt to address these shortcomings by using special, geocoded versions of surveys that identify the census tract in which each household (p. 384) resides. Ellen and O'Regan (2011), for instance, link a geocoded version of the national American Housing Survey to a data set of census tracts, identifying the relative household income of each tract in 1990 and the extent of relative gain it experienced in that income during the 1990s. They too find little evidence of elevated displacement rates of renters or of the poor from tracts going through economic gain during the 1990s, compared with similar households in similar neighborhoods that did not experience such a gain. Interestingly, they find that homeowners are more likely to leave low-income tracts that experience an increase in income, perhaps to capture the equity gains.

Similarly, Freeman (2005) uses the Panel Study of Income Dynamics, which tracks a national sample of households over time and identifies the census tract of each housing unit that they live in. Using this different data source and a nationally representative sample, Freeman (2005) once again finds little evidence of displacement.

Finally, McKinnish, Walsh, and White (2010) use a geocoded version of the decennial census to study the process of gentrification during the 1990s. Using this third data source, they too find no evidence that low-income, minority households were more likely to leave gentrifying neighborhoods. Indeed, they report that income gains among black high school graduates contribute significantly to the increases in average family income observed in gentrifying neighborhoods.

Taken together, these studies provide fairly strong evidence that neighborhoods can experience gains in income without precipitating widespread displacement of renters. One explanation for the lack of displacement is that people move all the time for reasons unrelated to rent levels, and so even without displacement, neighborhoods can change fairly rapidly. In addition, in many poor, distressed neighborhoods, vacancy rates are high. Thus, new households can enter a neighborhood without having to displace original residents. Finally, some residents may choose to pay higher rents because they believe that the neighborhoods are improving (see discussion later in chapter).

Of course, this does not suggest that displacement never occurs or that we should ignore it. Some households are still likely displaced as a result of neighborhood change and suffer from the dislocation. Moreover, Marcuse (1986) argues that these studies that look at whether individual households are pushed out of their units miss the more fundamental loss of affordable units that results from gentrification. He maintains that policy makers should pay just as much attention to what he calls "exclusionary displacement," or a reduction in the total number of units affordable to households of a certain income level.

Quality-of-Life Changes

While research on the impacts of gentrification has focused largely on displacement, there are other important questions about consequences. First, while renters may see increases in their rents in gentrifying neighborhoods, it is also possible that they experience improvements in quality of life. Indeed, these improvements may explain the puzzle

of why we do not see elevated rates of exit from gentrifying (p. 385) neighborhoods. Gentrification may lead not only to the opening of fancy boutiques and restaurants, thought to benefit primarily new residents (Zukin et al., 2009), but also to more fundamental improvements in neighborhood quality of life. Local public services may improve, and retail choices may expand, as higher income residents move in (Kennedy and Leonard 2001). The influx of more affluent residents may also lead to safer streets, greater connections to jobs, and a more educated and engaged set of parents supporting local schools. Alternatively, neighborhood services may change in ways responsive to the needs of new entrants, at the expense of original residents, a form of “social” displacement (Atkinson 2004).

What does research say about such changes in neighborhood services and conditions? Unfortunately, the evidence is quite limited. In terms of crime, there is some evidence that crime rates actually *rise* as neighborhoods gentrify, due to the high levels of residential turnover and increasing heterogeneity (Covington and Taylor 1989; Van Wilsem et al., 2006). However, there are some reasons to question whether the associations identified are causal, and one paper suggests that over the longer term, crime may in fact decline (McDonald 1986). As for housing conditions, Schill and Nathan (1983) report that housing investment and quality increase in the nine gentrifying neighborhoods they study. The stock will change more dramatically in areas where new apartment buildings and condominiums are replacing existing housing.

Few studies examine changes in public services and broader neighborhood satisfaction. Vigdor (2002) studies this question using AHS data in Boston. Differences in the wording of questions over time and low levels of variation make comparisons difficult, but in general, he finds little evidence to suggest that neighborhood satisfaction improves in gentrifying neighborhoods. More recently, however, in a national study of neighborhood economic gains during the 1990s, Ellen and O'Regan (2011) find that renters staying in gentrifying neighborhoods report greater increases in neighborhood satisfaction than renters staying in other communities.

Impacts on Economic and Racial Integration

If gentrification does not cause rapid and widespread displacement, this suggests that there will be at least a period of time during which higher-income pioneers and lower-income incumbents will live side by side. In other words, gentrification may promise to foster some income mixing, and to the extent that it involves white households moving into minority communities, gentrification has the potential to further racial integration as well (Kennedy and Leonard 2001). Indeed, many of the recent government policies criticized for encouraging gentrification are justified on the basis of their potential for promoting social inclusion (Atkinson 2004; Lees, Slater, and Wylie 2008). The extent of actual social integration may be lessened if new, wealthier households are moving into separate new apartments and condominiums rather than moving into older, existing homes that are interwoven in the community.

There is little empirical work on these questions. In a study of Canada's three largest cities, Walks and Maaranen (2008) find greater income inequality in (p. 386) gentrifying neighborhoods. But of course income inequality at the neighborhood level amounts to income diversity or integration. As for racial integration, Bostic and Martin (2003) find that much of gentrification is driven by middle-class black households, suggesting that it may spawn little in the way of racial integration.

Freeman (2009) presents the most careful analysis, studying U.S. census tracts from 1970 to 2000. In general, he finds that gentrifying neighborhoods typically start out more diverse with respect to income and education levels and remain so after the process of change. Indeed, during his study period, gentrifying neighborhoods generally experienced greater increases in income diversity than other neighborhoods, especially between 1990 and 2000. And metropolitan areas in which gentrification was more pervasive experienced greater reductions in income segregation.

Freeman's findings are more mixed with respect to racial diversity and segregation. For racial diversity, he finds that gentrifying neighborhoods are generally more diverse than other neighborhoods, but the increase in racial diversity they experience is about the same as that experienced by other neighborhoods. And he finds mixed evidence about the association between the prevalence of gentrification and increases in racial segregation at the level of the metropolitan area.

Impacts on Overall City Growth

Past research has virtually ignored what is perhaps one of the most fundamental questions about the consequences of gentrification—the effect on the growth and prosperity of the city as a whole. There has been virtually no work examining what happens to overall levels of poverty and income in cities experiencing gentrification. Is gentrification a zero-sum game in which the increases in income in some neighborhoods are simply offset by decreases in other areas? Or do increases in income in individual neighborhoods translate into higher incomes in the city as a whole? For decades, central cities have been losing businesses and population (especially the affluent) to the suburbs. City governments are faced with a dwindling tax base on the one hand and a greater demand for social services on the other. If gentrification is associated with more affluent city residents overall, then policy makers should pause before enacting policies to prevent it. On the other hand, if gentrification is a zero-sum game, and urban policy makers are expending resources to encourage gentrification in the false hope of net gain, then alternative urban strategies should be pursued. Future research should focus on this important question.

Conclusion

This chapter has hopefully made clear that gentrification is a complex process that defies simple labeling or normative assessment. The existing research provides no easy answers, and suggests that policymakers should engage in a thorough and (p. 387) balanced assessment of both benefits and costs. The research to date does not justify efforts to stop

neighborhood change, but local governments may want to consider public policies to help address the costs of gentrification, such as targeted rent subsidies for poor renters (and perhaps local small businesses).

Many questions remain for future students to address. Moreover, we encourage students of gentrification and neighborhood change to study these phenomenon in a broad set of contexts. Atkinson and Bridge (2005) and Clark (2005) highlight gentrification's increasingly global reach, extending from Moscow to Berlin and Kyoto. Moreover, Dutton (2005) argues that gentrification has moved down the urban hierarchy to smaller cities, a trend also documented in Boddy (2007).

In addition to emerging in new areas, gentrification has evolved over time to take on new patterns and forms (see Lees, 2000; Clark 2005; Darling 2005; Butler, 2007; Lees, Slater and Wyly 2008, chap. 4). As gentrification evolves and moves to new places, the need for sound scholarship on both its underlying causes and its ultimate consequences only increases.

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Notes:

(1.) For some planners, the focus is on the physical reinvestment that generally accompanies either of these sources of demographic change (Gale 1984; Kennedy and Leonard 2001).

(2.) See Schwirian (1983) for such a framing of gentrification within these models of neighborhood change.

Gentrification: Perspectives of Economists and Planners

(3.) Schwirian (1983) presents four perspectives on the fundamental causes of gentrification; London and Palen (1984) offer five.

(4.) Economists do debate whether this suburbanization of higher-income households indeed is driven by differences between the income elasticity of housing versus the income elasticity of commuting costs or whether it is instead driven by other factors, such as racial preferences of white households and policies that differentially supported the suburbanization of higher-income households. See Downs (1981, 39–41) and Brueckner and Rosenthal 2009 for reviews.

(5.) Homer Hoyt (1939) is credited with the first description of such filtering of housing.

(6.) For a nice summary, see chapter 2 of McDonald and McMillen (2007).

(7.) David Harvey (1973) championed a political-economy approach to urban studies in direct conflict with neoclassical economics.

(8.) The power of eminent domain was frequently employed, and critics dubbed the program “Negro removal.”

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